›y buyers, if they are struggling to whittle down the number of potential ›idders they might well ask you to complete one.

With a similar purpose to a PQQ, an RFI tries to identify your capability, apacity and experience to supply this opportunity. You could very well find ourself being required to provide information about how your business is tructured, financed and governed. The type of information you are asked or is likely to be similar to that demanded by the public sector in a PQQ, as escribed above (accounts information, insurance, policies and the like). You night even find yourself having to provide indicative pricing at this stage.

The same rules apply to completing an RFI as apply to a PQQ. Provide complete response to all the questions, and substantiate and provide evi-ence of your capability, experience and corporate governance. The buyer s looking to identify and disqualify risky-looking suppliers. Don't give uyers any reason not to include you at the next stage, when they issue the nvitation to tender (ITT) or request for quote or proposal (RFQ or RFP).

SUMMARY

Take this stage seriously because, unless you successfully clear this hurdle, you won't be invited to bid. This is the part of the competition where the number of competitors is the highest, and buyers are looking for a way of bringing the numbers down. You've got to do all you can to ensure that you make it through.

It can be tough preparing for the pre-qualification stage. There's so much information to be gathered, and it can be disheartening in the early days. But, if you take a long-term view, not only will the next pre-qualification process be much quicker, but, away from the bidding, the information that you're gathering is useful for ensuring that your company is doing all the things it should do, well.

If you don't qualify, ask for feedback and identify the areas in which you failed or scored poorly compared to other bidders. Then take action to rectify the shortcomings, wherever possible, or recognize that future competitions might require improved or more robust credentials in order for you to compete.

Hopefully, though, you will make it through this stage and will be invited to participate in the next round of the competition. It's only then that you will have access to the detailed requirements and can begin to assess the opportunity for real.

04 The decision to bid

THIS CHAPTER COVERS:

- Factors that should affect your decision to bid
- Weighing it all up and making the big decision

It's a great feeling – maybe also a little daunting – when you've just found or have been sent an invitation to tender (ITT). You start to daydream about what it would be like to win this one: the new customer name on your website, the extra profit on the bottom line...

But let's not get ahead of ourselves here. Participating in a bid is a big deal – it can be a time-consuming, resource-hungry, costly process. You really need to be pretty certain that you've got a good chance of winning before you start spending time and money completing it. The best way to improve your win rate is to ensure that you have a robust 'decision to bid' process to follow. This will ensure that you go only for the right tenders and don't waste time on no-hopers.

Let's look at what that decision-making process looks like, then.

Factors that should affect your decision to bid

So, either you've made it through the pre-qualification or RFI process or, if you're lucky, you've received the ITT directly. But before you go any further or even think about bidding there are three big questions you need to ask yourself:

- Is it deliverable?
- Is it winnable?
- Will it be profitable?

It's got to be 'yes' for each one, as otherwise there really is no point in going to the effort of bidding. In this case, two out of three is just not good enough. Be honest with yourself, brutally so. At this stage, you've invested little, lost nothing. But make the wrong decision and, in a few weeks' time, the story could be very different. Take your time. This is an important decision.

Of course, underneath each of the three big questions are lots more that you'll need to ask yourself before you can finally arrive at the right answer. You'll have to weigh up the positives and the negatives for lots of factors before coming out with the right decision. To make this a little more scientific, it might be useful to create a simple scorecard to help with this, but we'll come to that in a little while.

First then, you need to start to identify your strengths, weaknesses, opportunities and threats. Start a SWOT diagram (as shown in Figure 4.1) to help you see the bigger picture and later to help you complete the scorecard. I promise this won't be wasted effort – if you decide to go ahead and bid, you'll find the SWOT to be a really valuable tool throughout the process.

FIGURE 4.1 SWOT diagram template

Strengths All the things that you will deliver well in this instance	**Weaknesses** All the things that you could improve in this instance
Opportunities Things that you might be able to take advantage of to improve your chances of winning	**Threats** Things that might happen to affect your proposed solution negatively

Let's now look at each big question in more detail to help you to populate the SWOT diagram.

Is it deliverable?

Too many companies give little thought to what it means to actually win a bid. I often hear the sentiment 'I'll worry about that later' or, if the person is in a larger organization, even worse, 'It won't be my problem by then'. If you're tempted to think like this, think again.

You need to make a more practical self-assessment about your ability to do the job from the first to the last day of the contract. You need to convince yourself or your team before you can even think about convincing a buyer! Let's break this down.

The basics

You need to be confident that you are aware of any risks that might get in the way of your successful delivery of the contract. You'll also need to have a plan for mitigating these. So start with the basics and then delve deeper:

- Have you done something similar before?
  - On this scale?
  - In this timeframe?
  - On this budget?
  - In this market?
- Do you have the resources to undertake the job?
  - Will you need new people, new skills, new equipment or new premises to do the job?
  - If so, how are you going to finance this development?
  - Will you have to subcontract any aspect of the work, hire in 'experts' at any stage or even find a partner organization to help deliver the contract?
  - If so, will this strengthen your proposition, or highlight the gap in your core capability to the buyer?
- What will be the impact on your other customers if you win this contract?
  - Will they experience a reduction in the quality of service they receive?
  - What might that mean in the long term?

Mark up your findings accordingly on the SWOT.

Showstoppers

There's often one requirement in a bid that you wish you could remove, because you just don't know how you're going to meet it. It's the gaping hole in your solution: the 'showstopper'. A showstopper might be: an unachievable service level with stringent penalties attached; an implementation schedule you can't meet; a guarantee you can't provide; terms and conditions in the agreement that you can't sign up to; a skill that you don't have; or functionality that your IT system can't deliver.

However tempting it is to ignore a showstopper, please don't. Address it here and now. Put it in capital letters as a threat on your SWOT, and don't do anything else until you've solved this one.

Don't despair at this stage, though. Often your showstopper is every other bidder's too. Establish this fact, if you can. If necessary, talk to the buyer about just how important this element is overall, so that you can put it into perspective.

If, after careful consideration, you still can't solve the problem, it's probably best to decide against bidding this time.

If you think you've solved the problem, great. This threat has now become a strength. If this was a showstopper that you believed other bidders would be struggling to solve, does this now give you a differentiator to sell? Update your SWOT and move on to the next big question.

Is it winnable?

Before you start to work on this question, imagine you're preparing a two-minute pitch for a *Dragons' Den*-style panel. Could you really convince them that the investment needed to pursue this opportunity would give a definite financial return? (Remember, time is money, so, even if you don't need to make any capital investment, can you afford to waste the time?) Better still, actually present the pitch to colleagues, investors or stakeholders – or even, if you're a one-person outfit, to a friend or your better half. Does it still sound convincing when you 'sell' it to someone else? Take onboard any feedback you get and adapt accordingly.

To really make your pitch watertight, you'll need to consider a number of factors, covered in more detail below. Plot your findings for each on your SWOT.

Incumbency

If you are the incumbent (existing supplier), great! You should have an advantage, provided you've been doing a good job up until now. Put this as a strength on the SWOT. (If your relationship isn't as good as it could be, put it as a weakness, have a look at Chapter 8 for further advice and then come back to this question!) Of course, buyers are always looking to reduce costs, so as the incumbent you might have to prepare to add extra value or reduce your price.

But you know the culture of the organization, understand its vision and strategy, know the people and anticipate what's expected. In addition, they know you and what you can do; they know your people and your (collective) attitude. It's a great starting position.

However, don't be complacent! Other bidders will be looking to persuade the buyer to switch away from you and will put up a case for change. You'll need to make sure you tell the opposite story: telling the buyer why continuity will be the best approach. Often, as the incumbent, you have to work that little bit harder than other bidders, to show how much more you know and how much more you want the contract than they do. Make sure you're prepared for this extra effort.

If you're not the incumbent, the first thing I recommend you do is try to find out if there is one. If this is a public sector contract, this is a little bit easier, as the information is in the public domain. If it's a private sector contract, it's still possible to find out – the first place to look is on your competitors' websites for case studies. (It's amazing how much information is given away via PR.) But really, the easiest way to find out is to ask the buyer. Buyers might not tell you who the incumbent is, but they should tell you if there is one.

So let's say there's an incumbent. Try to think of anything specific that you'd need to match or overcome to beat them. You'll need to find out a little bit about them (go back to the internet for a look at their website, or use other research channels, if you don't already know them well) to work out what your strengths and weaknesses are, relative to theirs.

Next, take a close look at the tender document, at the information given to bidders. Does it seem to favour the incumbent? Look for these kinds of clues:

- You don't seem to have been given all the information you need to create a full solution.
- There are some impossible conditions that only the incumbent could meet (location, experience, software, etc).
- The submission deadline is even shorter than normal.
- It doesn't ask for information on how you would manage the migration of the contract from the existing supplier to the new supplier.

- It's a public sector contract and all the contract extension options have been taken up previously, so it has to go back out to open competition now. (This doesn't mean it has to be awarded to a new supplier, though, just that the buyer is required to ensure that the 'most economically advantageous tender' is selected. This could easily be the incumbent's.)

One of the most telling things of all, though, is the buyer's attitude to your requests for information. It's a buyer's job to get the best solution at the best price. So it's in buyers' interest to give you the information you need to prepare your best bid. If they don't seem that interested in helping you get to that place, there's probably a good reason. Maybe they've already made their decision and don't need to waste time engaging with the market. If you come across a buyer who is reluctant to talk, make a note of this on the SWOT, accordingly.

Once you've done all this research, chart what you know about the incumbent on the SWOT. The more embedded the incumbent looks, the bigger the threat! On the other hand, if it looks as though the buyer wants to move away from a poorly performing incumbent, this could be an excellent opportunity.

There's one more possible scenario with regard to an incumbent – there isn't one. This could be because this is a brand new requirement or because the previous supplier hasn't been invited to rebid, their contract was terminated or they went out of business. Either way this is good news for you, but also for your competitors. It does mean that the playing field is a little more level, but it also means that any threats that are out there are less visible to you. If you feel you've got a good handle on the marketplace and your competitors and that you have a differentiator that will give you the edge, put this as a strength on your SWOT.

How you came about the opportunity

There are many ways an opportunity will come to your attention: perhaps through a public register, straight from the customer or via a consultant, newspaper advert or your local chamber of commerce. Of course, there are many more. Clearly, some of these routes will be more favourable to you than others.

Getting to know a prospective customer before they put an opportunity out to the market is clearly advantageous. The more people you know in that organization, and the better understanding you have of their vision, values and challenges, the better placed you will be in any bidding situation. At the point at which they have an opportunity to send out to the market, you'll be on the distribution list. Even better, they might approach you first or ask your advice on putting the ITT together. You're in pole position when this happens – a definite strength on the SWOT.

If you've picked up an opportunity from a public register, there are likely to be many others doing the same. What differentiator(s) do you believe you have that will set you apart from all of these other bidders? Why will they pick your solution over everyone else's? Just bear in mind the fact that you are much less likely to win a bid 'from cold', and mark it as a threat on the SWOT. You'll really need to stand out from the pack during the bid evaluation stage to overcome this one.

Your financial position

In Chapter 3 we looked at how buyers request financial information as part of any pre-qualification stage to assess your likely financial security throughout the contract term. They want to be certain that you'll be able to meet your obligations from start to finish. If you haven't had to provide financial information before now, and it's a requirement of your bid submission, take an objective look at your situation. (You might find it useful to look back at the PQQ section in Chapter 3 to see how to do this.)

Don't ignore this issue and hope that your submission will 'wow' the buyer sufficiently to take a risk on you. Save yourself huge amounts of time and effort by establishing the buyer's attitude to this risk right at the outset of the process.

Decide whether your financial position is a strength or a weakness (from the buyer's perspective, that is). Then mark it up on your SWOT accordingly.

Experience

One of your best selling tools is the experience and expertise you can show to prospective customers from past projects and contracts that your organization has worked on. Being able to point to such experience changes a bid from a claim of competence to a statement of demonstrable ability. Buyers always want to avoid risk, and will look for reassurance that your bid does not contain anything that might put the project in any kind of jeopardy.

Think about the experience that you can show to the buyer for this opportunity. Will you be able to convince the buyer that you've done this kind of thing before? It doesn't even matter if you haven't carried out one single similar project that ticks all the boxes. Being able to demonstrate experience of individual elements across a range of customers is just as good – it shows your adaptability. A range of case studies and a team of people with their own 'back stories' to draw upon should definitely go on to your SWOT as a strength.

Conversely, if you've no experience at all in delivering the kind of service that the customer needs, this is definitely a weakness on your SWOT. If you were choosing builders to build an extension on your house and they couldn't show you any photos of completed jobs or provide any references, would you take them on? Doubtful. Why would professional buyers take a gamble on inexperience when it's their reputation on the line?

References

There's nothing better to further reassure a buyer of your competence than a set of references from happy customers with whom you've previously worked (or are currently working).

You'll often be asked to provide references as part of the bidding process, so think early on about who would give you the most relevant reference. Ideally, you would match references to the case studies you're going to include in the bid. Are you still in touch with the right contacts, and could you approach them to obtain their permission to be named as references in your bid?

If you're confident about the quality, strength and relevance of your references, put this as a strength on your SWOT. Otherwise, it's a weakness, I'm afraid, and something you'll need to work on in time for your next bid.

Time and resource to bid

Remember this is a competition. You need to be better than everyone else. You need to draw the best possible solution out of your team. You need to be creative, innovative, eye-catching and thought-provoking. To draw up the best submission you need time to think.

Have a look at the task ahead of you and try to estimate how long it would take to prepare a winning bid – not just a compliant bid (have a look ahead at Chapter 6 to see what this entails). I accept this as a near-impossible task (I hate doing it myself, and I've written more bids than I care to remember), but you need to have an idea of what you're committing to. Now add on at least 25 per cent more time than you initially envisaged. Trust me, these things take so much longer than you ever want them to.

Once you've an idea how long it's going to take, think about who's actually going to do the work. It's likely that you'll need to consult with other people, some internal, possibly some external. How challenging will it be to get their time and attention? What about geographical challenges – if all the people you'll need are on the road, or on holiday, or based in other offices, or tied up with existing projects, how are you going to manage this 'virtual' team? If pertinent, the potential loss of focus on existing projects is a threat and should be marked as such on your SWOT.

At this point, do a quick calculation about how much this bid is going to cost you to submit, using the following calculation:

Number of hours × an estimated cost per hour
+ bid production and delivery costs
+ expenses (travel, research, samples, etc)

A back-of-an-envelope calculation will do for now (really, it doesn't need to be more than that). But it will reveal to you the investment you'll be making in this bid. It's always quite sobering to realize just how much, win or lose, you will be spending on this process.

Put the investment figure as a threat on your SWOT (on the grounds that this is what you stand to lose). You'll also need this number to answer the 'Profitable?' question.

Finally, armed with the knowledge that you're going to be spending time and money, and it's an all-or-nothing job, can you afford to go for it? (Or, depending on your circumstances, can you afford not to?) There's no magic formula for making this call, but at least you'll know what you're letting yourself in for if you do decide to go ahead.

Other competitors' strengths and weaknesses

We've already considered the challenges associated with bidding against an incumbent, but in most competitions there'll be other bidders to consider too. Hopefully, you'll be aware of your competition and will have a good idea who else might be considering bidding for this opportunity. Even if you don't have a distinct idea of the actual companies, you'll know what the marketplace is currently offering.

This is a really important part of your decision to bid – because you need to start thinking about what you can offer the buyer that no one else can. This is your differentiator.

Differentiators are sometimes difficult to pin down. Some obvious examples are price, experience, quality, your people and their experience, your location/proximity to the customer, cultural fit or your charging mechanism. There can be many more, but you need to be clear in your own mind about what you're offering versus everyone else. This one factor will become central to your bid, so think hard and be honest with yourself. What are you offering that's truly different? Will any other bidder be able to claim the same differentiator? If so, it's back to the drawing board, I'm afraid – this is a benefit, but not a differentiator. (If you need more help on benefits and differentiators, have a look at Chapter 6.)

Buyers need to justify to themselves and to the ultimate decision makers that they are making the right recommendation. Having a clear differentiator makes this so much easier for them. Often, buyers have no choice but to revert to the differentiator that is easiest to identify – price. If you have a clear proposition that demonstrates the added value that you can offer, you can avoid this scenario.

Having a clear and valuable differentiator is a mega-strength. Mark it up on your SWOT in capital letters!

Cultural fit

Buyers need to be reassured that their supplier will understand what is required and will work within what are often unspoken boundaries. Have a look at the customer's culture. Are they leading-edge, innovative, pioneering, early adopters in their field? Then they're likely to want suppliers whose energy and creativity can keep pace with their own. Conversely, if their reputation is for safe, controlled, risk-free services, they are likely to want a supplier that is focused on process, trust and solid, proven techniques.

Although you'll always have to adapt your story to fit the customer's requirements, make sure you would be happy working within their boundaries. Would this way of working suit your company's style and allow you to do the best job? It has to work both ways.

Take a step back and look at how your SWOT is shaping up. How does it look so far? More strengths than weaknesses? Great. You can always address your weaknesses. The incumbent as the main threat? Not the end of the world. A clear differentiator? Fantastic. Extra opportunities to sell additional services or add value? Excellent. So far so good, but it's now time to look at what it would mean to your bottom line if you won the bid.

Will it be profitable?

Clearly, you don't want to lose money if you're awarded this contract. You'll therefore need to have all the financial facts at your fingertips in order to make the right decision on this opportunity.

This particular question is one that you'll need to keep coming back to during the course of your bid, because things will almost always change as you put your solution together. You'll need to keep reassuring yourself that the answer is still 'yes', on balance. For now, you're establishing whether or not you can afford to put forward a competitive bid and still make money.

Price up the delivery of the job, as you would normally. Estimate at this stage; remember you're trying to establish whether you want to commit to bidding; you're not actually working on the bid yet. (Don't worry, though – all this preparation will be used if you do decide to go ahead.) Then think about the following factors.

Opportunity-specific costs

On top of your normal cost model, which will already account for known, day-to-day operating costs, your considerations should include additional, opportunity-specific costs. Be really careful that you think of every possibility; it's very easy for your future profit to be eroded by unanticipated costs such as recruitment fees.

Opportunity-specific costs might include:

- bid resource costs (you hopefully did a quick calculation of this when you were considering the 'winnable' question);
- tooling or sample creation costs;
- the cost of checking your prospect's financial position or other research you might need to buy;
- set-up, transition and close-down costs;
- costs for buying in or recruiting additional expertise or resource;
- training and development costs;
- service penalties;
- increased insurance premiums for additional cover required by the customer;
- costs associated with providing any financial guarantees.

I would always recommend including a contingency element in your calculations, appropriate to the risks inherent in your solution, to cover any unforeseen elements that might later arise.

Once you have a view of your overall costs, you will then need to consider the price you will charge the customer in this instance. In some cases, the buyer will include a budget figure in the tender document to help you to see if you're on the right lines.

You'll also need to consider cash flow: when and how will you invoice the customer and what are their payment terms? How will set-up costs be treated?

You now need to take the contract term into consideration, so that you can calculate your break-even point across the contract lifetime. This is a key factor in your decision.

Finally, look at the business case that you've now created for this opportunity. You've got most of the information you need to make your decision about profitability, but there are two more very important considerations to be made yet.

1. The customer's financial position

It's often overlooked in the excitement of the opportunity, but your revenue and indeed your profit are all theoretical until you actually get paid. You'll need, therefore, to be as certain as you can be that this customer is in a strong enough financial position now, and for the duration of the contract, to pay you for the goods and services that you provide. This is especially important if there are steep set-up costs that the customer requests to spread out over the contract lifetime, or if your break-even point comes late in the contract term.

There are a number of companies from which you can obtain credit risk information for a relatively small fee. I recommend taking this option; it'll be a worthwhile investment in the long run.

The most risky contracts are those being awarded by start-ups, since you won't have any historical information to draw upon. Proceed with caution here.

In a similar vein, if the tender is being managed by consultants and they are not willing to tell you who the customer is at this stage, be cautious. Try to find out why they won't disclose. Until you know who your customer is, consider this a definite threat and mark it on the SWOT as such. Come back to this consideration as soon as you know who the customer is, and reposition this on the SWOT accordingly.

Clearly, public sector contracts are free from the risk of insolvency or cash flow problems, but there are other potential risks in supplying to a public sector body, and we'll explore these next.

2. External factors that might affect the contract

For the majority of contracts requiring ongoing services or repeat orders for goods, suppliers are expected to accommodate a good degree of the risk inherent within them. Try to identify any external risks that might interfere with the customer's ongoing need for the goods and services you're contracted to supply, and then consider how probable these risks seem over the contract term.

In both the public and the private sector, I have seen service-based contracts that don't meet the volume or activity projections included in the original ITT, so projected revenues never materialize as a result. (In most cases, the contracts are weighted with the risk being at the supply end.) Similarly, in goods-based contracts, I've seen end-user demand that doesn't meet sales projections result in orders being trimmed right back.

Public sector contracts are often seen as the holy grail for suppliers, and many a sales director dreams of landing that elusive first publicly funded contract. In many ways that's true, but just be aware that things might not always be quite as certain as you first perceive them to be. I've seen changes of government, or policy, or legislation negate the need for a supplier almost overnight. In these cases, the supplier has no say in such matters, and contracts don't protect them from these decisions. In fact there are normally clauses in public sector contracts that cover such eventualities; suppliers are not likely to receive compensation in these cases.

Have a good think about any factors that might scupper your revenue and profit projections. The weather; the fickle nature of consumers or end-users; industrial action: all out of your control, but all potentially your headache. If any of them are more likely to happen than not (your call, I'm afraid!), mark them up on your SWOT as a threat.

Weighing it all up and making the big decision

You're now ready to weigh up the good things (strengths and opportunities on the left of your SWOT) against the bad things (weaknesses and threats on the right) in order to make your decision. If you can see at a glance that your SWOT is heavily weighted towards the right half of your SWOT, this might be enough for you to view the decision as a no-brainer.

But, as is normally the case, it's just not that easy to call. You might need to use a simple scorecard to be absolutely certain where the balance point lies. Don't worry, this is pretty straightforward to manage.

Your scorecard just needs to have three columns (deliverable, winnable, profitable). Each item on your SWOT will be given a mark on the scorecard under the relevant column. Record your strengths and opportunities under the relevant column with a positive number (say +5 or +10, depending on how good they are). Record your weaknesses and threats with a negative number (say –5 or –10, depending on how bad they are). You'll have to use your judgement here, but be realistic about the scores you give! When you've allocated a score to each item, calculate the total for each column.

Two examples of completed scorecards are shown in Tables 4.1 and 4.2.

ABLE 4.1 Sample scorecard 1

eliverable	Winnable	Profitable
lave sufficient apacity: +5	New contract (no incumbent), plus worked successfully with this customer previously: +5	High-margin product: +10
Vould need to bring ı extra staff: –5	Invited to tender by the buyer: +5	Will have to absorb training costs for new staff: –5
lave required safety ertification: +5	Strong financial position: +5	Competitors will offer discounted rates to win the business: –5
ould begin ithin required meframe: +5	Lots of similar experience with other customers and good references available: +5	Customer is a public body; no risk of non-payment: +5
Vill need to subcontract ne step of the solution, ut will use proven artner: 0	The person who was going to write the bid is on holiday: –5	No known risk factors that might affect demand: 0
ave unique approach ıat will improve quality ɔr no additional cost lifferentiator): +10	Competitors can offer similar solution: –5	Set-up costs can be charged within first 12 months: +5
	Good cultural fit: +5	
otal score: +20	**Total score: +15**	**Total score: +10**

TABLE 4.2 Sample scorecard 2

Deliverable	Winnable	Profitable
Would have to bring in external expert to fill knowledge gap for key role: –5	No incumbent – brand new requirement: +5	High-value service, good profit potential: +10
Project clashes with another customer's and quality might be compromised: –5	Picked up the tender from the chamber of commerce register; open competition, no relationship with buyer: –5	Will be able to fully on-charge costs for the external expert: +5
Have required quality system in place: +5	Able to provide all financial reports required and contract would account for less than 5 per cent of turnover: +5	Customer is a start-up with no financial history; presents cash flow risk: –10
Could not begin within required timeframe: –5	Only partial experience of similar activities with other customers: –5	Attractive bonus offered for overperformance: +5
No need to subcontract any part of the solution: 0	Limited bid resource available: –5	Demand for the required service is uncertain; presents income risk: –5
	Competitors would also struggle to show experience: +5	
	Don't know much about the customer's vision, culture or values (start-up): –5	
Total score: –10	**Total score: –5**	**Total score: +5**

... are recorded, take a good look. If your scorecard is negative in any column, or if one column is significantly lower than the others, this should really challenge your thinking.

A low relative score for 'deliverable' might mean that you'd never score enough points in the evaluation to convince the buyer that you could do the job. Or worse, you might win the contract and then be stuck trying to invest unplanned time, resource or capital in meeting your obligations.

If it doesn't score well under 'winnable', even if it does under 'deliverable' and 'profitable', then this opportunity is more appealing to you than you are to its buyer!

If you win it and can deliver it, but it's not profitable, would you want it on your books?

Using the two sample scorecards, then, what would be the right decision?

- Scorecard 1: Positive score against each big question, good balance, no showstoppers. Bid!
- Scorecard 2: Two negative scores, skew towards profitable, lots of potential risks. Don't bid.

So the three big questions have been considered; let's hope you've decided :hat the answer is a resounding 'yes' to each of them. That's fantastic. (You lidn't engineer things to arrive at the outcome you wanted all along, did 'ou?) You must be brutally honest with yourself when making this call – here's a lot of work ahead and plenty at stake...

If you're going ahead, you now have a completed SWOT, which will be really important tool during the rest of the process. Stick it up where you an see it, and send a copy round to everyone who'll be contributing to the id – they'll all need to know what's in store. And get ready for the next age: the bid itself.

If you decided not to go ahead, commiserations. At least you can satisfy ›urself that you made a good decision, not based on gut feel but on well-constructed business case. You've probably learnt a lot about your ganization in going through this decision-making process. Make sure that u use any lessons that you have learnt to get ready for the next opportu-:y. You'll be in much better shape when it does arrive.

...And keep making it

I'm afraid the decision to bid isn't a once-only step in the whole process, but is one that you should continually make as you work your way through towards the deadline.

Often something will happen during the course of your preparations that will call your original decision into question. This might be a change in requirement from the customer, or a discovery about a competitor's situation, or a realization that your solution suddenly costs too much. The buyer might move the deadline or stipulate a new instruction (buyer's prerogative, I'm afraid), or your legal adviser might counsel you against accepting the terms of the contract. It could be anything, really, and you'll know, when it arrives, that it can't be ignored. So go with that instinct, don't ignore it, keep your SWOT and scorecard up to date and cut your losses, if necessary.

It takes so much more courage to stop a bid than to carry on with it; I know this from personal experience. I have worked on several bids where something happened part-way through that made it suddenly undeliverable, unwinnable or unprofitable. Of course, having started the process in complete favour of proceeding, it can be very difficult to admit to yourself, let alone persuade your team, just why you're changing your mind so completely now. But this is where your scorecard and SWOT come in; you can show the team the criteria that you've been balancing all along and what has changed to tip that balance.

If you do decide to withdraw, make sure you notify the buyer as soon as you can. In some cases, the buyer will try to dissuade you from pulling out (but, remember, it's in their interest to keep as many bidders in the process as is possible) and will probably want to know why you're not going to submit, so be prepared to discuss your reasons with them.

Don't be despondent after you've pulled out of the competition; call a meeting for your contributors, have a discussion about what you've all learnt and put that learning into practice next time you bid. Celebrate the fact that you've made a good call, and move on. Hopefully there'll be plenty of new (deliverable, winnable and profitable) opportunities just around the corner.

SUMMARY

Never proceed with a bid before you've asked yourself the three big questions: deliverable, winnable, profitable? Take time to consider the case for bidding; draw up a SWOT and outline your solution costs. I promise you that it'll be time well spent.

Once you've decided to bid, keep checking it's still a good decision; don't be afraid to pull out of the competition if something fundamental changes.

05

Keeping on track
Where to start and how to finish

THIS CHAPTER COVERS:

- Getting started on your bid
- Project-managing your bid
- Formatting and populating the document
- Submitting on time

By now, you've made the decision to bid, and you've sketched out a SWOT. You're keen to get going, to start writing, to feel like you're doing something to get you advanced towards a finished document. This chapter will guide you through the process of constructing your bid from start to finish and will help you to avoid panics and disasters along the way. But we're not going to think about writing anything just yet. This chapter covers how to manage your time and resources; we'll start thinking about what to write in Chapter 6.

Some of the tools and techniques I describe here may be overkill for the bid that you're working on and you may not need them all every time. That said, the majority of these steps are must-do activities that you should always complete, regardless of the size of the opportunity or the perceived complexity of the tender document from the customer. Skimp on them at your peril!